

Taiwan 2Q outlook: Goldilocks at a crossroads

Economics/growth/monetary

Group Research

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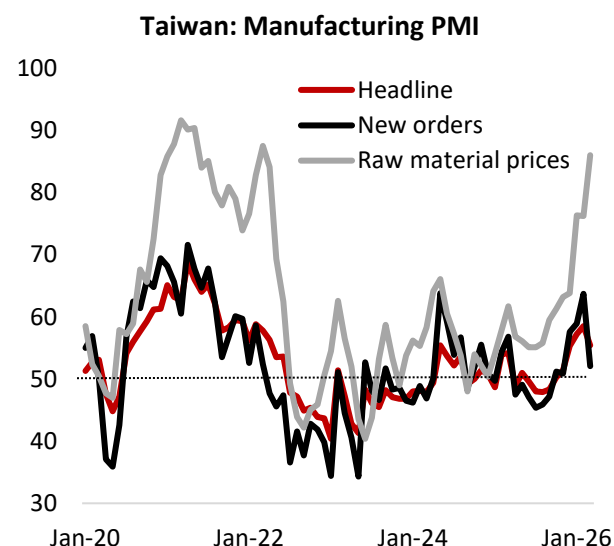
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- Taiwan's "Goldilocks" conditions are at a crossroads, as leading indicators point to rising inflation and moderating exports in 2Q.
- The Middle East-driven energy price shock and related spillovers are expected to persist through 2Q.
- The AI-led export cycle should remain resilient in the near term, though not fully insulated.
- Tariff-related challenges have taken a back seat.
- **Forecast implications:** Our 2026 CPI forecast is revised up to 1.9%, while GDP growth is maintained at 7.0%.
- The policy rate forecast remains at 2.00%, though a 12.5 bp rate hike in June or September is not ruled out.

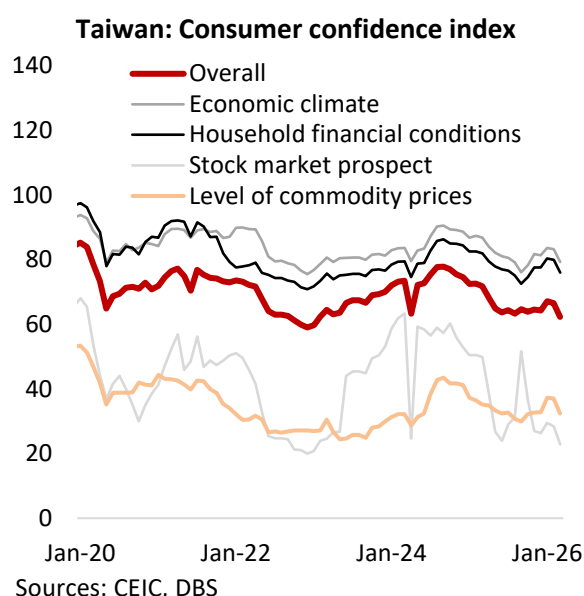
1Q recap and 2Q outlook

Taiwan's "Goldilocks" economic environment is approaching a crossroads. The economy entered 2026 from a position of strong growth and low inflation, supported by robust global demand for AI-related products and easing US tariff pressures. However, this favorable mix is now coming under strain, as the US-Israel-Iran conflict disrupts global energy markets and broader supply chains.

Leading indicators already point to rising inflation and moderating exports in 2Q. March PMI data show a sharp increase in input costs, reaching levels last seen during the Russia-Ukraine war in 2022, alongside a modest decline in export orders. Meanwhile, March consumer confidence has weakened, reflecting concerns about overall economic conditions, household finances, stock market prospects, and price levels.



Sources: CIER, CEIC, DBS

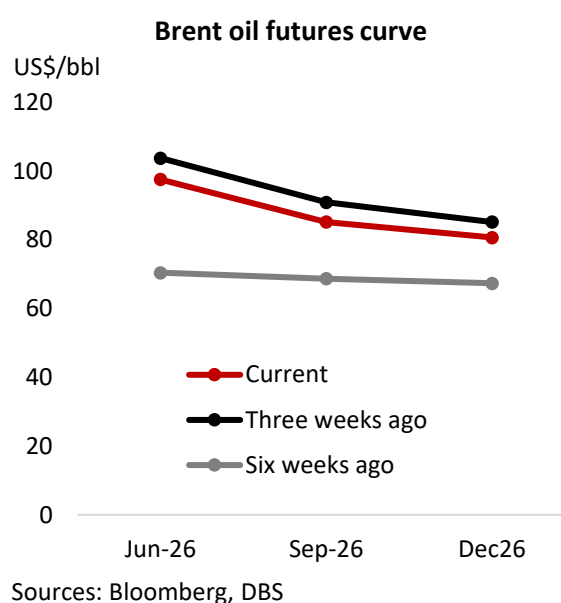


Middle East impacts

The Middle East–related energy price shock is expected to persist through 2Q. Although a ceasefire between the US, Israel, and Iran was announced on April 7, it represents only a temporary and conditional truce, and a full resolution could take weeks to months. Even if hostilities do not resume, restoring normal flows through the Strait of Hormuz may take several months, as shipping confidence, insurance coverage, and naval security typically lag behind political agreements. In addition, repairing damage to energy infrastructure will take time, as some Gulf refineries have been affected by air strikes. Futures markets continue to price Brent oil at around USD100/bbl by June, before easing to USD85/bbl by September and USD80/bbl by December.

Spillover effects on Taiwan are expected to emerge from 2Q. Taiwan is particularly exposed to this energy shock: around 70% of its crude oil and 30% of its LNG imports come from the Middle East. While oil reserves can cover

roughly 100 days of consumption, LNG reserves are far tighter, sufficient for only about 11 days. Taiwan also depends on the region for key industrial inputs such as urea, methanol, and helium, which account for 30–50% of these imports. Transmission channels are likely to be multifaceted: higher oil and LNG prices will directly raise CPI via transportation and utility costs, while compressing margins in energy-intensive sectors such as transport, logistics, power generation, and heavy manufacturing. Rising fertilizer costs will feed into food inflation, while higher input costs across chemicals and industrial materials could create broader supply chain pressures, weighing on profitability in sectors ranging from plastics and rubber to semiconductors.

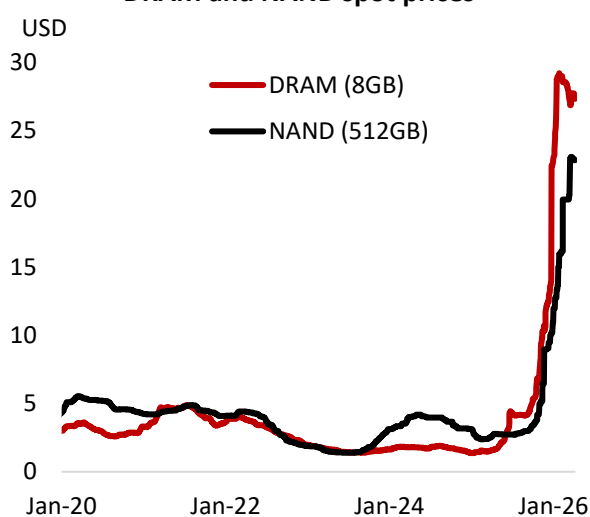


AI cycle

The AI-driven export cycle is expected to remain resilient in 2Q. The growing adoption of agentic AI—which enables systems to plan and execute tasks autonomously—continues to drive global demand for advanced computing and cloud infrastructure. The sector's

expansion is largely structural rather than cyclical, supported by long-term corporate strategies and government initiatives that are likely to persist despite near-term geopolitical shocks. This should continue to benefit Taiwan's semiconductor, server, and broader IT hardware sectors.

DRAM and NAND spot prices



Sources: Bloomberg, DBS

However, the AI cycle is not fully insulated from Middle East-related disruptions. Qatar, which supplies roughly 30% of global helium—a critical input for semiconductor manufacturing, particularly for cooling and heat transfer—has indicated that full repairs to its damaged LNG facilities could take three to five years. Major chipmakers such as TSMC, Samsung Electronics, and SK Hynix currently hold several months of helium inventories and are expanding recycling capabilities, providing near-term buffers. However, a prolonged shortage could eventually constrain production and raise costs.

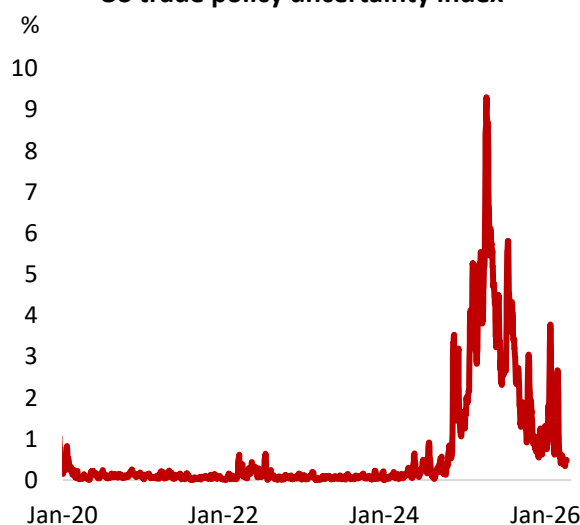
Another risk stems from a potential rise in global interest rates, also linked to the energy price shock. As inflation risks build, the OIS market is pricing in no Fed rate cuts and cumulative rate hikes of 50–100 bp by the ECB

and BOJ over the next 12 months. If realized, tighter global financial conditions could deepen equity market corrections, exacerbate private credit stress, and limit refinancing options for tech firms—particularly AI startups—thereby slowing investment expansion.

Tariffs

Tariff-related challenges are receding into the background. The 10% US Section 122 tariffs, which replaced IEEPA tariffs, are set to expire in July. The USTR initiated Section 301 investigations against more than 70 economies (including Taiwan) in March, but full implementation is likely to take several months. With higher energy prices pushing up US inflation, the political appetite for aggressive tariff measures may be limited in the near term, as additional tariffs could further fuel inflation and weigh on voter support ahead of the November midterm elections.

US trade policy uncertainty index



Sources: Bloomberg, DBS

Taiwan remains exposed to Section 301 measures and the second phase of Section 232 semiconductor tariffs, but is relatively well positioned. Taiwan has already signed

reciprocal trade agreements and an investment MOU with the US earlier this year. Preferential tariff treatment under Sections 301 and 232 (e.g., around 15%) remains plausible, contingent on continued commitments such as opening domestic markets to US firms, increasing imports of US goods, and expanding investment in the US—particularly in semiconductors.

Forecasts

Our 2026 CPI forecast has been revised upward to 1.9% from 1.5%, based on a full-year average Brent oil price assumption of USD 80 per barrel. Inflation is expected to rise to around 2% yoy from May and remain near that level through December, driven mainly by energy and food prices, with modest spillover into core inflation.

The 2026 GDP growth forecast is maintained at 7.0%, incorporating a stronger-than-expected 1Q and a gradual slowdown from 2Q onward. Growth is projected at around 10% yoy in 1Q, moderating to 7–8% in 2Q–3Q, and easing further to 2–3% in 4Q. This deceleration reflects softer exports, investment, and private consumption, amid cooling global demand in non-AI sectors, weaker corporate profitability, and softer real household incomes due to higher inflation and supply chain constraints.

The policy rate forecast remains at 2.00%. The central bank maintains a modestly hawkish stance, signaling no immediate rate hikes but a tightening bias should elevated energy prices persist. **A 12.5 bp rate hike in June or September is not ruled out**, aimed at anchoring

inflation expectations and containing second-round effects.



Policies

Fiscal policy is likely to play a more effective role than monetary policy in the current environment. The government has taken steps to stabilize prices, including absorbing 75% of fuel price increases through CPC Corporation, maintaining electricity price freezes via Taiwan Power Company, cutting fuel taxes, and exempting certain agricultural goods from business tax and import tariffs. A supplementary budget to expand energy subsidies and support vulnerable low-income households and SMEs may be required if the energy price shock persists, although political gridlock could delay implementation.

Energy policy will need to address structural vulnerabilities in Taiwan's energy system. On the supply side, measures include diversifying oil and LNG sources across multiple countries (e.g., the US and Australia), expanding strategic reserves, accelerating renewable energy development, and reconsidering nuclear power

as part of the energy mix. On the demand side, greater emphasis on energy efficiency and conservation is needed.

Supply chain strategies must also adapt to evolving geopolitical risks. Taiwanese firms should further strengthen resilience by increasing inventory buffers, pursuing multi-sourcing or nearshoring within Asia or domestically, and expanding manufacturing footprints closer to end markets. These measures will help diversify risks, shorten supply routes, and maintain operational continuity in the face of geopolitical, economic, or natural disruptions.

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